

Finmech Business Services

Employee Separation Policy

Title	Employee Separation Policy			
Description	Defines to outlines the standardized process and responsibilities for managing employee exits to ensure compliance, data security, and smooth transitions.			
Created By	HR Department			
Date Created	11-1-2024			
Date Approved	16-1-2024			
Last Review Date	25-04-2026			
Version Number	Modified By	Modification Made	Reviewed by	Approved by
1.0	HR Department		Mr. Akash Mahalkari – HR Head	Mr. Gurjeet Oberoi
1.1	HR Department	No Modifications Done	Mr. Akash Mahalkari – HR Head	CISO
1.2	HR Department	No Modifications Done	Mr. Vivek Trivedi – HR Head	CISO

Purpose

This Employee Separation Policy outlines the procedures to be followed when an employee leaves the organization, whether voluntarily or involuntarily. The purpose is to ensure a smooth transition, compliance with legal requirements, and the protection of company interests.

Scope

This policy applies to all employees of the organization.

Types of Separation

- **Voluntary Separation** – Includes resignations, Absconding and retirements.
- **Involuntary Separation** – Includes termination due to performance issues, misconduct, redundancy, or disciplinary actions.
- **Retirement** – Separation due to reaching the age of retirement as defined by the organization or by law.
- **End of Contract** – Completion of employment term as per a fixed-term contract.
- **Death or Permanent Disability** – When an employee's services cease due to death or total permanent disability.

Notice Period

Employees are required to provide advance notice as per their employment contract, typically:

- 30 days for permanent staff.
- Failure to serve the notice period may result in a deduction from the final settlement.
- Any employee who absconds from their duties will not be eligible for salary or other forms of compensation.

Exit Process

- **Resignation Submission** – Employees must submit resignation in writing (physical or digital format).
- **Exit Interview** – HR will conduct an interview to understand reasons for leaving and collect feedback.
- **Clearance Formalities** – Employee must obtain clearances from all departments (IT, Finance, Admin, etc.).
- **Handing Over** – Handover of responsibilities, data, and assets must be completed before the final day.
- **Full and Final Settlement** – Includes payment of dues such as salary, bonuses, leave encashment, etc.

Documentation

The following documents shall be issued to the employee, as applicable:

- Relieving Letter.
- Experience Certificate.
- Final Settlement Statement.

Exit Due to Termination

In case of involuntary separation, the employee will be informed in writing with reasons documented. The process will be handled confidentially and respectfully. Severance benefits, if there are any, will be provided as per employment contract or company policy.

Data Protection & Confidentiality

Departing employees are reminded of their obligation to maintain confidentiality and must return all confidential materials. Non-disclosure agreements, if signed, remain in effect post-separation.

Roles and Responsibilities

- **HR Department:** Oversees the exit process and ensures compliance with policy.
- **Reporting Manager:** Ensures knowledge transfer and proper handover.
- **Employee:** Fulfills all separation requirements and completes clearance.

Policy Review and Amendments

This policy will be reviewed periodically and may be amended by the management to meet legal requirements and organizational needs.